Will the Fed raise rates at its 9 December 2026 meeting?

US monetary policy · confidence: medium · resolves YES if the Federal Open Market Committee (FOMC) sets the target range for the federal funds rate above the current 3.75–4.00% on 9 December

TODAY · 14 NOV 2026 — NOVEMBER JOBS REPORT · 4 DEC — CHECK · 9 DEC 2026

74.92%

CONCLUSION

A rate rise in December is likely — 74.92%. The Fed raised the range to 3.75–4.00% in September and held it in October, but two of the twelve Committee members voted for another increase. The Committee's own September projections put the rate at 4.1% at year-end, which means one more step, and December is the last meeting of the year. Data since the October decision support that step: in October prices rose 0.4% on the month, core prices 0.3% for a third month running, the economy added 165,000 jobs and unemployment stood at 4.1%. The main risk to the forecast is a weak jobs report on 4 December: if the data weaken sharply, the chance falls to 20.70%.

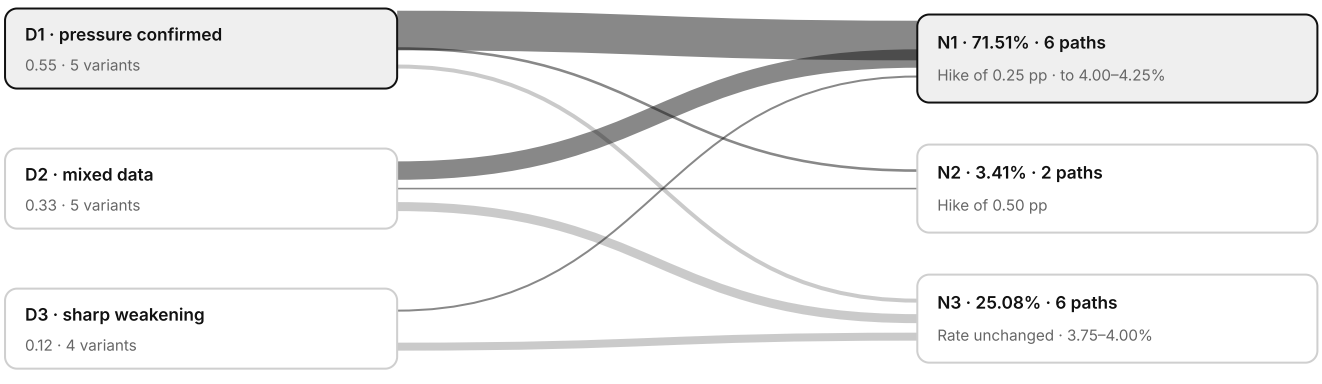
SCENARIOS · LEVEL 1 · CHANCE OF A HIKE IN EACH

	P	HIKE
D1 · data confirm price pressure	0.55	91.20%
D2 · data are mixed	0.33	67.50%
D3 · data weaken sharply	0.12	20.70%

REVISION SIGNALS

- ▲ November payrolls above 100,000
- ▲ members publicly back a hike
- ▲ October core PCE at +0.3% or more
- ▼ November payrolls below 50,000
- ▼ the Fed chair speaks of "patience"
- ▼ financial conditions tighten sharply

Scenario flows



Analytical position

The analysis proceeds from **N1 — "a hike of 0.25 pp" (71.51%)**. All three data scenarios lead to it: even with mixed data the Committee is more likely to deliver its own September projection than to step back from it. **N3 — rate unchanged** (25.08%) becomes the baseline if the jobs report on 4 December shows sharp weakening and Committee members do not prepare markets for a hike before the blackout period starts on 28 November. **N2** (3.41%) — a 0.50 pp step at once — is possible only with hot data and a direct signal from the Committee.

COEFFICIENTS

Lvl	Variable	Coefficients	Why · research
1	Data before the meeting: November jobs, October PCE prices	0.55 · 0.33 · 0.12	October: prices +0.4% on the month, core +0.3% for a third month; +165,000 jobs, unemployment 4.1% (BLS). Inflation is above target and the labour market is firm — under the Taylor rule that argues for a higher rate. Hence the weight of D1.
2	Committee signal before the blackout from 28 Nov	D1: 0.80 · 0.20 D2: 0.50 · 0.50 D3: 0.15 · 0.85	The Fed prepares markets through statements: statements about the future path move asset prices more than the rate change itself (Gürkaynak et al. 2005). Two members voted for a hike in October; one of them is a Board governor, and such dissents are rare (Thornton, Wheelock 2014).
3	Decision on 9 December: +0.25 · +0.50 · unchanged	D1·G1: 0.90 · 0.07 · 0.03 D1·G2: 0.68 · 0.32 D3·G2: 0.12 · 0.88	The Committee's September projection is 4.1% at end-2026, i.e. a range of 4.00–4.25% (FOMC, 16 Sep). November CPI is due on 10 December, after the decision, so the jobs report is the last key release.

RESEARCH

Fed funds futures carry a risk premium; forecasts that ignore it are systematically biased (Piazzesi, Swanson 2008)	level 3 · market pricing of 77–85% is an upper bound
Statements about the future rate path move markets more than the rate change itself (Gürkaynak, Sack, Swanson 2005)	level 2 · weight of the Committee signal
Reserve Bank presidents dissented 180 times for tighter policy and 35 times for easier; in 1994–2013 Board governors accounted for only 4 of 76 dissents (Thornton, Wheelock 2014)	level 2 · a governor's dissent is a strong signal
The rate should rise when inflation is above target and output above potential (Taylor 1993)	level 1 · direction of the response to data

SOURCES

Federal Reserve. FOMC statement; Implementation Note, 28.10.2026	**A1**
Federal Reserve. Summary of Economic Projections, 16.09.2026	**A2**
U.S. Bureau of Labor Statistics. Consumer Price Index — October 2026 (USDL-26-1685); The Employment Situation — October 2026 (USDL-26-1632)	**A1**
Piazzesi, Swanson. Futures prices as risk-adjusted forecasts of monetary policy. Journal of Monetary Economics 55(4), 677–691, 2008	**A2**
Gürkaynak, Sack, Swanson. Do Actions Speak Louder Than Words? International Journal of Central Banking 1(1), 55–93, 2005	**A2**
Thornton, Wheelock. Making Sense of Dissents. FRB of St. Louis Review 96(3), 213–227, 2014 · Taylor. Discretion versus policy rules in practice. Carnegie-Rochester Conf. Series 39, 195–214, 1993	**A2**
Market expectations: fed funds futures by the CME FedWatch method, 28–30.10.2026 (secondary summaries)	**C3**

ALL VARIANTS

D1 → hike signalled → +0.25 pp	39.60%	**N1**
D1 → hike signalled → +0.50 pp	3.08%	**N2**
D1 → hike signalled → unchanged	1.32%	**N3**
D1 → left open → +0.25 pp	7.48%	**N1**
D1 → left open → unchanged	3.52%	**N3**
D2 → hike signalled → +0.25 pp	14.52%	**N1**
D2 → hike signalled → +0.50 pp	0.33%	**N2**
D2 → hike signalled → unchanged	1.65%	**N3**
D2 → left open → +0.25 pp	7.43%	**N1**
D2 → left open → unchanged	9.08%	**N3**
D3 → hike signalled → +0.25 pp	1.26%	**N1**
D3 → hike signalled → unchanged	0.54%	**N3**
D3 → left open → +0.25 pp	1.22%	**N1**
D3 → left open → unchanged	8.98%	**N3**

WHAT CHANGES THE ESTIMATE

Data confirm pressure (D1)	**91.20%**
Mixed data (D2)	**67.50%**
Data weaken sharply (D3)	**20.70%**

Limitations: the market probability comes from secondary summaries, not exchange data. Because of last year's US government shutdown there is no 12-month inflation figure for October, so the estimate rests on monthly changes. The Committee's projection is known from a secondary account.

Next review: after the jobs report on 4 December.